

Small Cap Institutional Composite

As of 2/28/2015



Investment Approach

- Horizon's small cap strategy targets small or emerging companies possessing substantial barriers to entry, long product life cycles and sound capital structures; on occasion companies may be less mature companies and in the process of developing a superior product or market niche.
- Generally, holdings are expected to benefit from higher valuations either through revaluation, growth or a combination thereof. The strategy emphasizes small capitalization companies similar to the Russell 2000. The strategy may invest in non-US companies and, on a limited basis, participate in special situation opportunities.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- The portfolio typically invests in 30 to 50 securities and position sizes generally range from 0.5% to 10.0%.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
Russell 2000

Asset Under Management:

Horizon Kinetics (\$bln)	9.2
Horizon Institutional (\$bln)	3.3
Strategy (\$mm)	221
Composite (\$mm)	211

Inception Date:
January 1998

Portfolio Manager:
Murray Stahl
37 yrs investment experience

(1) Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.

(2) Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

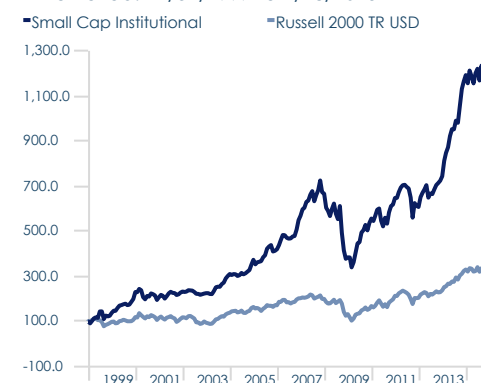
Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (gross)	7.9	5.5	5.5	-0.6	21.7	16.3	12.8	15.6
Total Return (net)	7.8	5.3	5.3	-1.6	20.4	15.1	11.7	14.5
Russell 2000 Return	5.9	2.5	2.5	5.6	16.6	16.0	8.3	7.6
Excess Return (gross)	1.9	2.9	2.9	-6.2	5.1	0.3	4.5	8.0
Standard Deviation (%)	—	—	—	13.7	13.2	16.2	18.8	19.8
Tracking Error (%)	—	—	—	12.3	9.7	9.1	11.2	13.9
Sharpe Ratio	—	—	—	0.0	1.6	1.0	0.7	0.7
Information Ratio (arith)	—	—	—	-0.5	0.5	0.0	0.4	0.6
Beta	—	—	—	0.6	0.7	0.8	0.8	0.7
UpMkt Capture Ratio (%)			132	54	90	82	90	93
Down Capture Ratio (%)			69	72	46	67	69	63

Top 10 Holdings	% Port
Jarden Corporation	9.2%
Howard Hughes Corporation	8.8%
Icahn Enterprises L.P.	8.5%
Texas Pacific Land Trust	7.4%
Wendy's Company	7.1%
Live Nation Entertainment, Inc.	4.9%
Brookfield Residential Properties Inc.	3.7%
DreamWorks Animation SKG, Inc. Class A	3.6%
AmTrust Financial Services Inc.	3.2%
Onex Corporation	3.0%

Strategy Characteristics	
Number of Positions	42
Avg. Market Cap. (B)	5.1
P/E ⁽¹⁾	21.7
Price/Book ⁽¹⁾	2.3
Dividend Yield	1.4%
Turnover (1 Year) ⁽²⁾	8.2%
(1) Weighted Harmonic Average	
(2) Based on Model Portfolio	

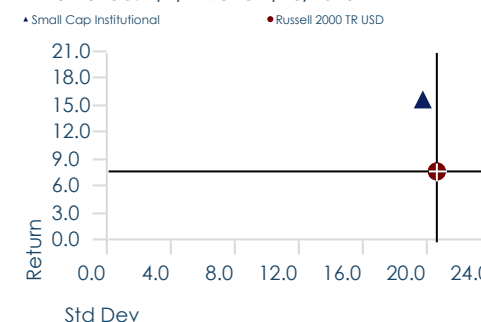
Cumulative Growth of \$100 (gross)

Time Period: 12/31/1997 to 2/28/2015



Risk/Reward (gross)

Time Period: 1/1/1998 to 2/28/2015



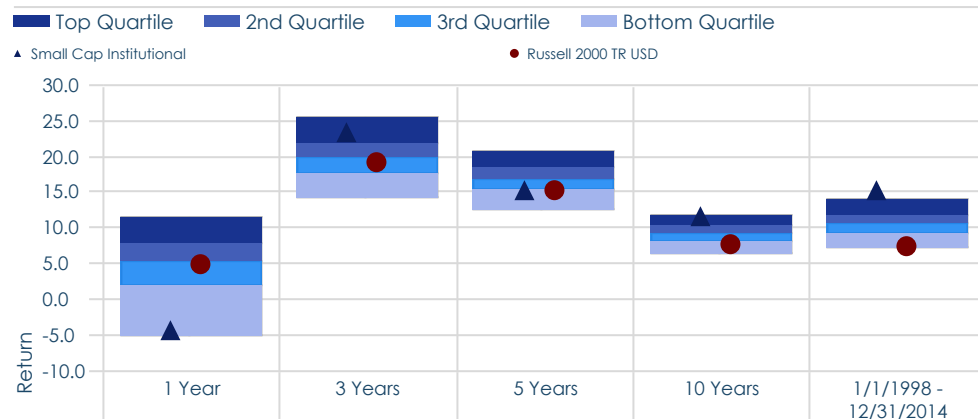
Small Cap Institutional Composite

As of 2/28/2015



Performance Relative to Peer Group (gross)

As of Date: 12/31/2014 Peer Group (5-95%): Morningstar - Small Cap



Monthly Performance (gross)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	-2.2	7.9											5.5	2.5
2014	-3.0	4.9	-2.2	-2.6	3.9	1.6	-4.3	5.7	-3.2	-0.8	0.1	-3.7	-4.1	4.9
2013	9.2	4.3	2.9	5.7	3.4	-0.1	4.1	-0.9	7.6	7.2	3.0	2.4	60.3	38.8
2012	7.2	2.8	2.4	2.8	-7.9	2.9	-0.5	3.2	2.7	1.3	1.4	2.7	22.4	16.3
2011	0.1	3.8	3.1	1.5	0.3	-1.3	-1.0	-5.8	-13.8	11.5	-2.0	-0.8	-6.2	-4.2
2010	-2.0	4.1	4.8	0.9	-9.1	-4.5	7.4	-4.7	9.4	4.8	1.1	4.7	16.4	26.9
2009	-0.1	-11.5	6.7	11.4	10.5	1.1	9.6	2.2	4.5	-4.6	6.5	3.7	44.9	27.2
2008	-9.4	-2.3	-3.9	5.6	4.0	-7.2	-4.2	10.5	-19.5	-15.8	-8.9	1.7	-42.4	-33.8
2007	5.0	1.1	4.3	0.9	4.1	2.4	-6.6	4.4	3.2	6.3	-7.2	-0.9	17.2	-1.6
2006	4.3	5.1	4.9	-0.2	-2.4	-0.8	0.2	1.8	0.5	6.0	8.2	3.6	35.5	18.4
2005	-5.4	2.6	0.6	0.8	4.7	2.3	7.4	2.3	1.4	-6.5	0.7	1.6	12.5	4.6
2004	-1.4	1.4	-0.3	-2.4	1.2	3.2	-1.9	1.5	2.3	2.2	7.2	6.3	20.3	18.3
2003	0.0	-1.6	-0.2	6.0	7.2	1.0	-0.1	4.8	2.4	6.9	3.6	3.0	37.7	47.3
2002	-0.8	0.6	2.7	-0.4	-0.4	-2.4	-3.6	-0.2	-1.9	1.3	1.2	0.8	-3.1	-20.5
2001	5.0	-1.8	-5.9	5.3	5.9	3.1	-2.0	-0.5	-3.7	1.5	3.5	2.0	12.2	2.5
2000	-0.2	6.2	-2.4	-12.9	-4.6	7.5	-1.2	6.5	-1.5	-2.6	-9.3	6.3	-9.9	-3.0
1999	6.9	-0.3	8.8	6.4	1.4	2.1	1.5	-3.6	1.3	7.1	6.7	15.5	66.9	21.3
1998	-8.8	11.4	11.7	4.2	-2.3	24.8	0.2	-23.6	14.1	-2.9	2.2	10.4	37.8	-2.5

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Risk Adjusted Return is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC. ("Horizon" or the "firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. The firm maintains a complete list and description of composites, which is available upon request via CSBD@horizonkinetics.com.

Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®).

The Small Cap Institutional Composite seeks above market long-term returns by investing primarily in a focused portfolio of small companies of global issuers with long product life cycles and insulated business models that possess the ability to generate high, sustainable returns on invested capital.

Performance is expressed in USD. Past performance does not guarantee future results and the value of the investments and the income derived from them may increase or decrease. Note that indices are unmanaged and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility or tracking error targets, all of which are subject to change over time. The Portfolio is a total return strategy and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

Unless otherwise noted, the portfolio characteristics shown above relate to the composite as of the date noted above. Not every client's account will have these exact characteristics. The actual characteristics with respect to any particular client account will vary based on a number of factors including but not limited to: (i) the size of the account; (ii) market prices of individual securities at the time of investment (iii) individual client circumstances. Horizon Asset Management LLC reserves the right to modify its current investment strategies and techniques based on changing market dynamics or client needs. This strategy may invest in both equity and fixed income securities without regard to market capitalizations or issue size. Horizon does not necessarily fully invest portfolios immediately after an account is funded. There can be no assurance we will ever fully invest an account. There is no assurance that any securities discussed herein will remain in an account. The securities discussed may not represent an entire account and in the aggregate may represent only a small percentage of an account's holdings. The following applies to all of the indices used in this document: Indices are presented merely to show general trends in the markets for the period and are not intended to imply that the strategy is benchmarked to the indices either in composition or level of risk. The indices are unmanaged, may or may not be investable, have no expenses and reflect reinvestment of dividends and distributions. Index data is provided for comparative purposes only. A variety of factors may cause an index to be an inaccurate benchmark.

Risk Considerations: Investing in securities entails risk, which may include but not be limited to the following: When investing in securities, the market may not necessarily have the same value assessment as the manager and, therefore, the performance of the securities may decline. Under no circumstance does the information contained herein represent a recommendation to buy, hold or sell securities. All material presented is compiled from sources believed to be reliable, but accuracy cannot be guaranteed. The information presented is subject to further clarification during presentations and may not be duplicated or communicated without our consent.

The information should not be used as a general guide to investing or as a source of any specific investment recommendations and makes no implied or expressed recommendations concerning the manner in which an account should or would be handled, as appropriate investment strategies depend upon specific investment guidelines and objectives. This is not an offer or solicitation to any person in any jurisdiction in which such action is not authorized or to any person to whom it would be unlawful to make such offer or solicitation. Horizon Kinetics does not provide tax or legal advice to its clients and all investors are strongly urged to consult their tax and legal advisors regarding any potential strategy or investment. Opinions expressed are Horizon Kinetics' present opinions only. No part of this material may be: a) copied, photocopied, or duplicated in any form, by any means; or b) redistributed without Horizon Kinetics' prior written consent.